



Europe's westernmost country, Iceland's strategic ocean location straddles the Mid-Atlantic Ridge. Its spectacular landscape is largely uninhabited, aside from coastal towns.



GEOGRAPHY

Grassy coastal lowlands, with fjords in the north. Central plateau of cold lava desert, geothermal springs, and glaciers. Around 200 volcanoes, with numerous geysers and solfataras.



CLIMATE

Its location in the middle of the Gulf Stream moderates the climate. Mild winters and brief, cool summers.



PEOPLE & SOCIETY

Icelanders share a strong national identity, with few foreign residents. Their language has changed little in 700 years, in part due to the country's isolation. There is high social mobility, free health care, and low-cost heating (geothermal and hydropower). Iceland's recent banking collapse and near financial ruin has swung the long-running debate over EU membership in favor of joining.



THE ECONOMY

Once reliant on fish. Aluminum smelting. Tourism. Banks overexposed in 2007–2008 "global downturn." Nation bankrupt, króna depreciated 90%.



INSIGHT: The word *geyser* is taken from *Geysir* (the "gusher") in southwest Iceland



FACTFILE

OFFICIAL NAME: Republic of Iceland

DATE OF FORMATION: 1944

CAPITAL: Reykjavik

POPULATION: 322,700

TOTAL AREA: 39,768 sq. miles
(103,000 sq. km)

DENSITY: 8 people per sq. mile

LANGUAGES: Icelandic*

RELIGIONS: Evangelical Lutheran 93%,
nonreligious 6%,
other (mostly Christian) 1%

ETHNIC MIX: Icelandic 94%, other 5%,
Danish 1%

GOVERNMENT: Parliamentary system

CURRENCY: Icelandic króna = 100 aurar